Ethan's New Firm Jan 1 General Ledger

ASSETS

Cash

1	20,000			12,000	3
2	20,000			9,000	4
				15,000	5
	4,000				

Inventory (product X)

5	36,000			6,000	6
	30,000				

Prepaid Expenses (Rent)

3	12,000				
	12,000				

Equipment

4	9,000				
	9,000				

LIABILITIES & SHAREHOLDERS' EQUITY

Supplier (A/P)

6	6,000			21,000	5
				15,000	

				0	

Bank (Debt)

				20,000	2
				20,000	

Equity

				20,000	1
				20,000	

Ethan's New Firm. Balance Sheet. Jan 1, 2023

Assets	
Cash	4,000
A/R+ (prepaid expenses)	12,000
Inventory	30,000
PPE (Property, Plant & Equipment)	9,000
Total	55,000

Liabilities + Shareholders' Equity	
Accounts Payable	15,000
Debt	20,000
Equity	20,000
Total	55,000

Ethan's New Firm 2023H1 General Ledger

ASSETS

Cash

a	4,000	18,000	11	a	30,000	36,000	10
10	56,000	2,400	13	9	48,000		
12	8,000	9,800	14				
		10,000	17				
	27,800				42,000		

Inventory (Machines)

Prepaid Expenses (Rent)

a	12,000	12,000	16	a	9,000		
	0				9,000		

Equipment

Accounts Receivable

10	24,000	8,000	12			1,500	16
	16,000					1,500	

Cum. Deprec. (Equipment)

LIABILITIES & SHAREHOLDERS' EQUITY

Supplier (A/P)

11	18,000	15,000	a			1,000	14
		48,000	9				
		45,000				1,000	

Salaries (accrued, not paid)

Interest (accrued, not paid)

		1,000	15	17	10,000	20,000	a
		1,000			10,000		

Bank (Debt)

Equity

		20,000	a			16,300	
		20,000				16,300	

Retained Earnings

Revenue & Expenses Account

10	CGS	36,000		Sales	80,000	10
13	SGA (utilities)	2,400				
14	SGA (salary)	10,800				
15	Interest	1,000				
16	SGA (rent)	12,000				
16	Depreciation	1,500				
		16,300			16,300	

Ethan's New Firm. Balance Sheet June 30, 2023 & Income Statement 2023H1

BALANCE SHEET

Assets			
Cash			27,800
Accounts Receivable			16,000
Inventory			42,000
PPE (Property, Plant & Equipment)			7,500
Equipment	9,000	(1500)	
Total			93,300

Liabilities + Shareholders' Equity			
Accounts Payable +			47,000
Suppliers	45,000		
Assistant	1,000		
Bank	1,000		
Debt			10,000
Equity			20,000
Retained Earnings			16,300
Total			93,300

INCOME STATEMENT

Sales	80,000
CoGS	-36,000
Gross profit	44,000
SGA***	-25,200
Operational profit	18,800
Depreciation	-1,500
EBIT	17,300
Interest	-1,000
Net profit	16,300

*** Utilities, salary, rent

Ethan's New Firm Statements of Cash Flows 2023H1

STATEMENT OF CASH FLOWS, 2013

(3)	Net Profit	16,300
	Depreciation	1,500
(6*)	*Changes in operating assets and liabilities*	
	Accounts Receivable	-4,000
	Inventory	-12,000
	Accounts Payable +	32,000
	Cash provided by Operations	**33,800**
(5)	*Investing Activities*	
	New equipment	0
(1) (2) (4)	*Financing Activities*	
	Payments of Debt	-10,000
	Net Increase in Cash	**23,800**
	Cash at beginning of period	4,000
	Cash at end of period	27,800